need to be hedged by trading in the market. For example, banks offer back-up lines of credit to commercial paper issuances by corporations. This means that when the corporation is in trouble and commercial paper markets dry up, the bank will step in and lend. Clearly, these are risky and illiquid loans. And they reflect a larger pattern: as traditional transactions become more liquid and amenable to being transacted in the market, banks are moving on to more illiquid transactions. Competition forces them to flirt continuously with the limits of illiquidity.

No doubt, the expansion in the variety of intermediaries and financial transactions has major benefits, including reducing the transaction costs of investing, expanding access to capital, allowing more diverse opinions to be expressed in the marketplace, and permitting better risk sharing. But it also has potential downsides, raising the question of whether we have unwittingly accepted a Faustian bargain, trading greater welfare most of the time for a small probability of a catastrophic meltdown. My view is that the world may be riskier because of skewed incentives among investment managers, which I will now describe, but it's unlikely we will know for sure. Thus, the message for central bankers and financial system regulators is simple: best to be prepared.

GETTING THE INCENTIVES RIGHT

In the past, bank managers were paid a largely fixed salary. Given that regulation kept competition muted, there was no need for shareholders to offer managers strong performance incentives (such incentives might even have been detrimental as it would have tempted bank managers to reach out for risk). The main check on bank managers making bad investment decisions was the bank's fragile capital structure (and possibly regulators). If bank management displayed incompetence or knavery, depositors would get jittery and